Negligent Misrepresentation

English contract law | Study guide | Statutory damages and negligent misstatement

Who gave the information and who signed the contract? Those two questions help distinguish damages under section 2(1) of the Misrepresentation Act 1967 from a common-law claim for negligent misstatement. This page starts with the statutory route.

1. Start with the transaction and the representation

Identify an actionable misrepresentation by or on behalf of the other contracting party. Explain what was false or misleading, how it induced entry into the contract and what loss resulted. Section 2(1) applies where the maker would have been liable in damages had the misrepresentation been fraudulent. A separate duty of care is unnecessary for this statutory route.

2. Identify who must prove reasonable grounds

Once the statutory conditions are made out, the maker must prove both that they actually believed the facts represented were true and that they had reasonable grounds for that belief up to formation. The two inquiries concern actual belief and its objective basis. A sincere belief can lack adequate grounds.

3. Howard Marine | Competing sources of information

The owner of barges overstated their carrying capacity. Its representative relied on a figure from Lloyd’s Register even though the vessels’ own documents showed a lower figure. The Court of Appeal held that the owner had failed to establish reasonable grounds for preferring the register figure. The case shows why the quality of the source matters.

4. Check what was known by signature

Separate the information available when the statement was made from any new material received before contracting. Ask who checked the relevant documents, how any conflict was resolved and whether the original assertion still had a reasonable basis.

> Legal English | **Reasonable grounds for belief** means an objectively adequate basis for the belief. **Up to the time the contract was made** identifies the end of the relevant period.

Negligent Misstatement in Tort

1. Hedley Byrne v Heller | A credit reference

An advertising agency sought a reference for its client Easipower through its own bank. Heller gave a favourable reference while expressly disclaiming responsibility. The agency relied on it and suffered loss when Easipower went into liquidation. The House of Lords recognised that careless statements can attract liability for pure economic loss where a duty exists. Heller's disclaimer prevented an assumption of responsibility on those facts.

2. Duty | Assumption of responsibility

Examine the relationship, the purpose for which the information was given and the recipient for whom it was intended. Responsibility may be assumed objectively where a skilled adviser supplies information knowing it will be used for a specific decision and reliance is reasonable. A contract between adviser and recipient is unnecessary.

3. Breach, reliance and loss

The claimant must establish the duty, a failure to take reasonable care, actual and reasonable reliance, and resulting loss within the scope of the duty. That scope depends on the purpose of the advice. In *Playboy Club*, the bank had not assumed responsibility towards the undisclosed party that relied on its reference.

4. Read any disclaimer in context

Check to whom the wording was communicated, when and what it covered. It may bear on assumption of responsibility or seek to exclude an existing liability. Where section 2(2) of the Unfair Contract Terms Act 1977 applies, a term or notice excluding liability for economic loss caused by negligence must satisfy reasonableness.

> Legal English | **Pure economic loss** is financial loss independent of personal injury or damage to the claimant's property.

Choosing the Claim and Remedy

1. The defendant | Contracting party or outside adviser?

Section 2(1) concerns a misrepresentation by the other contracting party, including a statement made on its behalf. An independent adviser may be liable in tort if the common-law elements are proved. The adviser's role and the capacity in which they spoke matter.

2. The burden | What must each side show?

Under section 2(1), the claimant establishes the statutory conditions and the maker bears the burden on reasonable grounds and actual belief. In tort, the claimant must show a duty and breach, as well as reliance and loss. Keep the evidence about what the maker believed separate from evidence about what the recipient did.

3. Damages | Different limits on recoverable loss

Under *Royscot*, section 2(1) damages are assessed on the deceit measure. Directly flowing loss may be recoverable even if unforeseeable. In negligence, ask whether the type of loss was reasonably foreseeable and fell within the purpose and scope of the duty. In both routes, prove causation and avoid double recovery.

4. Rescission and contractual limits

Rescission of the induced contract has separate conditions. Section 2(2) of the 1967 Act allows a discretionary award in lieu for a non-fraudulent misrepresentation while the right to rescind remains available. In a business contract, a clause restricting misrepresentation liability or remedies may be subject to the reasonableness test under section 3. A clause framed as non-reliance can fall within that provision.

> Exam method | For each defendant, identify the statement, basis of liability, burden of proof and claimed loss. Analyse any exclusion only after identifying what it purports to exclude.

Worked Problem and Sources

The cold-storage units

A wholesaler buys cold-storage units from a supplier. Before signature, the supplier says the units can hold −18°C when fully loaded. Its own manual gives a higher temperature under that load. An independent engineer, who has no contract with the wholesaler, sends it a signed report for this purchase decision. The engineer repeats the figure after testing the units empty. The wholesaler relies on both statements and incurs extra storage costs when the units fail to hold the specified temperature.

Model analysis

Supplier. The statement concerns existing capacity. If it was false, induced the contract and caused loss, examine section 2(1). The conflicting manual undermines the supplier's case that it had reasonable grounds for its belief.

Engineer. The report's named recipient and purpose support a duty. Testing empty units for a fully loaded specification suggests breach. Examine whether reliance was reasonable and whether the proven extra costs fall within the risk the report was meant to address.

Evidence of loss. Check whether correct information would have changed the purchase decision. Purchase approvals and invoices for replacement storage can help link the faulty information to the claimed costs.

> Variation | The report was prepared solely for the supplier's maintenance planning and reached the wholesaler without the engineer's knowledge. Reassess whether the engineer assumed responsibility for this recipient and purchase decision.

Selected cases and legislation

Misrepresentation Act 1967 ss 2–3 | Statutory rules
Howard Marine v A Ogden & Sons [1978] QB 574 | Reasonable grounds
Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465 | Assumed responsibility
Banca Nazionale del Lavoro v Playboy Club [2018] UKSC 43 | Identity of recipient
Manchester Building Society v Grant Thornton [2021] UKSC 20 | Scope of duty
Royscot Trust Ltd v Rogerson [1991] 2 QB 297 | Measure of damages
Salt v Stratstone Specialist Ltd [2015] EWCA Civ 745 | Damages in lieu
First Tower Trustees Ltd v CDS [2018] EWCA Civ 1396 | Non-reliance clause
Unfair Contract Terms Act 1977 s 2(2) | Negligence exclusions